SELWYN RESOURCES — ANNUAL FINANCIAL DISCLOSURE (EXCERPT)

The following is an excerpt from the annual financial disclosure of Selwyn Resources, prepared at the request of the Office of the Attorney General of the State of Arden. All figures relate to the most recently completed financial year and are expressed in millions of United States dollars.

1. Corporate profile and organisation

Selwyn Resources is a privately held company organised under the laws of Pennsylvania. Its workforce numbers approximately 1,304 persons across 16 states, and it reports through the segments set out below. Arden Agent Services, Inc. serves as the company's registered agent in Arden.

2. Segment revenue

Segment	Revenue ($M)	Share of total (%)	Fossil Fuel Products segment
Crude oil sales	2,378	35.0	yes
Natural gas sales	1,722	25.3	yes
Mineral royalties	1,107	16.3	no
Sand and aggregates	918	13.5	no
Corporate and other	675	9.9	no
Total revenue	**6,800**	**100.0**	

Sales of Fossil Fuel Products, as that term is defined in the Climate Resilience Funding Act, are represented by the segments marked above and totalled $4,100M for the year; revenue from all segments totalled $6,800M. In the preceding year the corresponding proportion was 61.8%.

3. Capital expenditure and related charges

Capital expenditure for the year amounted to $296.7M, with 55.6% directed to the maintenance of existing assets. Depreciation, depletion and amortisation charges came to $181.6M, and an impairment of $47.4M was recorded in respect of legacy metering assets.

4. Commodity price risk and hedging activity

Approximately 57.0% of anticipated production or purchase volumes for the coming year has been hedged. Open derivative positions carried a notional value of $807.7M at year end. A hypothetical adverse movement of ten per cent in benchmark prices would have reduced pre-tax earnings by $101.7M.

5. Workforce, safety and environmental matters

The recordable injury rate stood at 1.9 per two hundred thousand hours worked. The company reported 7 notices of violation across all jurisdictions, and civil penalties paid came to $2.2M. Voluntary turnover ran at 11.4%.

6. Legal matters and proceedings

The company is a party to 28 proceedings, all arising in the ordinary course of business. Management does not consider any of them, whether individually or in the aggregate, likely to have a material adverse effect. Accruals in respect of loss contingencies stood at $8.1M.

7. Geographic distribution of revenue

Revenue is attributed to the jurisdiction in which title passes. The company's three largest states of operation generated 64.6% of revenue, and Arden accounted for 0.85% of revenue. No single customer accounted for more than 8.0% of revenue. Operating permits are held in 17 states and one federal offshore lease area.

Region	Revenue ($M)	Share of total (%)	Employees
Gulf and south central	1,332.7	20.1	301
Mid-Atlantic and north east	1,730.5	17.3	340
Midwest	1,176.0	11.9	186
West and mountain	464.1	9.0	82
All other, including Arden	562.3	10.8	152

The regional figures represent management's allocation and are rounded; they do not constitute a segment disclosure and do not sum to total revenue.

8. Commitments and off-balance-sheet arrangements

Purchase obligations under take-or-pay and transportation contracts stood at $668.5M, of which $542.3M falls due within one year. Operating lease commitments totalled $37.6M. Surety bonds and letters of credit of $67.4M have been issued, principally in respect of decommissioning and of state fuel tax obligations. There are no off-balance-sheet financing arrangements other than those described.

9. Taxation

The effective tax rate was 17.3%, compared with a statutory federal rate of 21%. The principal reconciling items comprised state taxes net of federal benefit (4.4 points), depletion allowances (3.8 points adverse to the reconciliation), and the resolution of an examination covering the years 2018 to 2022. Unrecognised tax benefits stood at $5.5M. The company is presently under examination in 1 states; Arden is not among them.

10. Transactions with related parties

Sales to entities in which a director or officer holds an interest of ten per cent or more amounted to $11.4M, on terms management believes to be no less favourable than those available from unrelated parties. Office space is leased from a partnership in which two officers hold interests.

11. Accounting estimates considered critical

Management considers the following estimates critical: the recognition of revenue on contracts with variable consideration; the assessment of asset retirement obligations (discount rate 4.3%, expected settlement over 25 years); the recoverability of long-lived assets; and the valuation of open derivative positions where quoted prices are not available. A ten per cent change in the discount rate applied to retirement obligations would change the recorded liability by $18.9M.

12. Selected financial data for the last five years

	Year 1	Year 2	Year 3	Year 4	Year 5 (current)
Total revenue ($M)	5,215.0	5,049.1	5,254.8	4,807.4	6,800
Revenue from Fossil Fuel Products ($M)	3,143.4	3,030.1	3,166.5	2,969.6	4,100
Capital expenditure ($M)	325.8	310.8	318.5	318.6	296.7
Employees (000)	1.3	1.2	1.2	1.2	1.3

Figures for prior years are presented as previously reported and have not been restated. The proportion of revenue derived from Fossil Fuel Products may be computed from the two revenue lines; the proportion for the current year is stated in section 2 above.

13. Events after the reporting date

The company announced on 3 June the retirement of its chief financial officer, for consideration of $45.8M. Management has evaluated events through the date of this disclosure and is not aware of any other matter requiring adjustment or disclosure.

14. Distributions to holders

Distributions to holders totalled $182.3M, representing 12.9% of distributable cash flow. The board has not adopted a fixed distribution policy.

Prepared for the purposes of the constitutional review only. Not filed with any securities regulator and not audited as presented.